The Asia Prosperity Report also documents the phenomenal rise in the savings rate of India and China. India had a domestic savings rate of 8.4 per cent during 1960–1969, which increased steadily to 12.6 per cent, 15.8 per cent, 23.9 per cent, 29.9 per cent and 31.5 per cent in the next five decades. China had a higher starting point—a domestic savings rate of 27 per cent in 1960–69—which jumped to 36.6 per cent in the 1970s. It stagnated to 35 per cent during 1980–1989 when the country started opening up. China's domestic savings rate rose steadily thereafter to 39.7 per cent during 1990–1999, to 44.5 per cent during 2000–2009 and 48.3 per cent during 2010–2018. China literally saved half its income for investment in the current decade. As per-capita income had risen to high levels, the Chinese people enjoyed better consumption standards despite saving such a large proportion of their incomes for investment in growth.

Other regions decelerated in terms of domestic savings; both the developed OECD countries and the non-Asian developing countries (Latin America and Sub-Saharan Africa). The global growth engine has shifted from the rest of the world to Asia.

Why is the Savings Rate Falling in India?

It is important to diagnose why the domestic savings rate is falling in India before attempting to provide solutions for the situation.

Households, the primary savers, save from their incomes for two primary reasons: building a nest egg for their old age or future unemployment; and for better returns from their savings for improved future consumption. Households save in financial instruments if they believe they can get better returns than expected inflation. They also make investments in property and other tangible and intangible non-financial assets if the returns from such investments exceed returns from financial investments.